In our experience, private buyers who know what they are doing will pay between four and eight times earnings. Typically, they know the businesses they are getting into. (Note that our experience is limited to the publishing business. Perhaps if you have a monopoly of some sort, or if you have a more reliable income stream, you'll be able to get more.)

But whatever you get, you have to do something with it. And whatever you do, the same calculations will work on the other side. You will then buy someone else's stream of cash, either in a stock or a bond. Or you will take a flyer on "growth" or a business opportunity that might really "take off" and reward you far beyond the expectations of the income stream itself.

It probably happens, from time to time, that business sellers find better opportunities elsewhere. But the logic of the situation suggests that if they do, the buyer has made a mistake. If he were a private buyer, perhaps he did understand the business. Perhaps he was able to add value to it. Perhaps he got a good deal at four times earnings.

But what about the public market investor, the fellow who thinks he should get into computer technology because "it's the wave of the future," or into agri-business "because there are a lot of hungry people in the world"? What about this poor schlep?

Public market investors usually pay higher multiples (higher prices) on investments they understand much less well. They get less for their money, and they don't know it. The price-to-earnings (P/E) ratio on the S&P 500, as of this writing, is 16—or more than twice what a private buyer would pay.

Sharp investors make money on the difference. They look for businesses that might be sold into the public markets. They buy them at the private market multiple and then sell them to the public at the public market multiple. This is the business of "private equity" and venture capitalists. You buy a business from a retiring entrepreneur at $10 million and "take it public" with an initial public offering (IPO), pricing the business at $20 million.

It's not as easy as it looks. In order to "list" a company in the public markets, you have to do a lot of work and pay a lot of expensive professionals. In addition to the venture capitalists themselves, you will need a small army of accountants and lawyers to prepare the company for a